

# Labor Law, Enforcement, and State Capacity

## Labor Markets and Political/Cultural Institutions — Week 2

Teaching deck draft

## Central question

- When do labor laws alter wages, employment, job quality, and worker protection?
- When do they remain rules on paper?
- Which margin moves: law, enforcement, knowledge, compliance, or incidence?

## Bridge from Week 1

- Week 1 defined institutions as labor-market mechanisms.
- Week 2 zooms in on formal law and the institutions that make it effective.
- The labor object is not doctrine by itself; it is wages, employment, formality, benefits, claims, and sorting.
- The formal–informal margin is part of the equilibrium object from the start.

# Law on the books vs. law in practice

$$L_{jt}^{eff} = L_{jt}^{book} \times E_{jt} \times K_{jt}$$

- $L_{jt}^{book}$ : statutory or court-made rule.
- $E_{jt}$ : enforcement, administrative reach, courts, sanctions, complaints.
- $K_{jt}$ : worker and firm knowledge, salience, and practical ability to act.
- Teaching device: separate legal text from the rule workers and firms expect to bind.

## Six objects to keep separate

| Object                | Labor-economics interpretation                           |
|-----------------------|----------------------------------------------------------|
| Law on the books      | formal statute, doctrine, mandate, or right              |
| Effective law         | expected constraint after implementation                 |
| Enforcement intensity | inspection, litigation, sanction, complaint credibility  |
| Worker knowledge      | awareness of rights, remedies, and retaliation risk      |
| Realized compliance   | actual wages, hours, benefits, procedures, records       |
| Incidence             | wages, employment, formality, benefits, sorting, welfare |

# Labor-law dimensions

| Dimension                     | Institutional object                               | Core labor margin             |
|-------------------------------|----------------------------------------------------|-------------------------------|
| Hiring and contract form      | probation, written contracts, temporary work       | access to formal jobs         |
| Dismissal protection          | firing restrictions, severance, wrongful discharge | separations, hiring, turnover |
| Wage and hours rules          | minimum standards, overtime, payment rules         | wages, hours, compliance      |
| Mandated benefits             | leave, pensions, payroll benefits                  | wage-benefit incidence        |
| Anti-retaliation and disputes | complaints, remedies, adjudication                 | claims and bargaining         |
| Inspection and sanctions      | inspectors, penalties, repeat visits               | compliance and sorting        |

## Anchor papers: different treatments

| Anchor                                          | Variation                                                                       | Observed labor margin                                                                                    |
|-------------------------------------------------|---------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------|
| MacLeod                                         | law and contract environment                                                    | credible employment promises                                                                             |
| Autor–Donohue–Schwab                            | wrongful-discharge doctrines                                                    | employment and dismissal-sensitive margins                                                               |
| Almeida–Carneiro<br>Bertrand–Crepon<br>Amengual | inspection exposure<br>information about labor law<br>inspector social linkages | informality, wages, compliance<br>beliefs and employment behavior<br>enforcement pathways and compliance |
| Berliner et al.                                 | state capacity and rights                                                       | broad labor-rights performance                                                                           |

# Enforcement as institution

- Inspectors, courts, sanctions, complaints, and administrative records determine whether rules bind.
- Enforcement is costly and selective: agencies target visible firms, high-risk sectors, complaints, or politically salient workplaces.
- Selectivity changes incidence because covered and uncovered firms face different expected costs.
- Almeida–Carneiro: inspection intensity is a labor-market treatment, not just a background control.

# State capacity and heterogeneity

- Administrative reach: can the state find firms, workers, payrolls, hours, and benefits?
- Territorial heterogeneity: does the rule bind outside visible urban labor markets?
- Observability: are firms registered, records reliable, and violations measurable?
- Complementarity: unions, NGOs, and worker networks can help produce enforcement capacity.

# Worker knowledge and implementation

- Rights can fail if workers do not know the rule, remedies, or complaint channel.
- Rights can fail if workers fear retaliation or expect claims to be slow and costly.
- Firms can also misperceive legal constraints and adjust hiring or contract form.
- Bertrand–Crepon: information identifies knowledge and salience, not a new statute or stronger sanctions.

# Informality and equilibrium adjustment

| Margin              | What enforcement changes                                    | Interpretation problem                                               |
|---------------------|-------------------------------------------------------------|----------------------------------------------------------------------|
| Employment<br>Wages | hiring, separations, vacancies<br>cash pay and wage offsets | direct effect may hide sorting<br>benefits may be valued differently |
| Compliance          | hours, benefits, records                                    | observed compliance can coexist<br>with evasion                      |
| Formality           | registration and contract status                            | uncovered sector may absorb adjustment                               |
| Sorting             | firm size, sector, contract type                            | treated composition may change                                       |

# Empirical designs and what they identify

| Design                       | Identifies best         | Typical outcome                       |
|------------------------------|-------------------------|---------------------------------------|
| Legal adoption or repeal     | law on the books        | employment, wages, turnover           |
| Court-made variation         | contract doctrine       | dismissal-sensitive margins           |
| Inspector access/allocation  | enforcement intensity   | compliance, formality, wages          |
| Worker-information RCTs      | knowledge and salience  | beliefs, claims, employment           |
| Institutional indices        | broad legal environment | comparative rights and labor outcomes |
| Employer–employee admin data | incidence and sorting   | wages, benefits, flows                |

# What not to do

- Do not call a statute the treatment if the design varies enforcement.
- Do not call enforcement an outcome if it is the identifying variation.
- Do not interpret compliance without naming the covered and uncovered margins.
- Do not read employment effects without asking about wages, benefits, formality, and sorting.

- Reproduce: synthetic Almeida–Carneiro style enforcement and informality panel.
- Diagnose: compare enforcement variation with Autor–Donohue–Schwab legal variation.
- Transfer: classify whether a design identifies law, enforcement, knowledge, or effective compliance.
- The smoke path is local and synthetic; the purpose is design diagnosis.

- Week 2: when does formal labor law become effective?
- Week 3: how are labor markets organized when formal contracts and protections cover only part of work?
- The connecting object is the formal–informal margin.
- Keep separating legal protection, enforcement, knowledge, compliance, and incidence.

- Labor law is a labor-market institution because it changes contracts, compliance, bargaining, and adjustment.
- Effective law depends on legal text, enforcement, and knowledge.
- State capacity and worker organization shape where law binds.
- Strong empirical work names the variation, observed margin, and object identified.